Amkor Technology, Inc.

Corporate credit memo | 2026 | Independent portfolio case study

Recommendation: defer the proposed $100m term loan

Recommend **$0 incremental commitment today**. Reconsider the modeled $100m, three-year facility only after a fully funded expansion plan and borrower-level repayment sources are verified. The base case has a $3,015.5m cumulative funding gap to the assumed minimum reserve by 2029. Breaking even takes that much new funding or a uniform cut of about 33% to planned 2026-2029 capex. Reducing this loan alone does not close the gap. Not an OCBC decision.

Historical capacity and cash generation

USD millions, except ratios	2025A	LTM / Jun-26
Revenue	6,708.0	7,457.7
EBITDA proxy	1,109.4	1,323.9
Gross debt principal	1,456.2	2,515.8
Gross debt / EBITDA	1.31x	1.90x
Cash + short-term investments, unrestricted	1,991.4	2,512.2
Simple FCF: operating cash flow less cash capex	191.0	(172.4)

Source: FY2025 10-K and Q2 2026 10-Q [1, 2]. LTM flows equal 2025 + H1 2026 - H1 2025; latest balance-sheet stocks are June 30, 2026. EBITDA is EBIT plus cash-flow D&A, not covenant-adjusted EBITDA.

The lending issue: expansion funding, not just leverage

The model uses the midpoint of $2.5-3.0bn disclosed 2026 capex guidance. It assumes $3.0bn, $2.5bn and $1.5bn for 2027-2029; those later amounts are analyst scenarios, not company guidance. The September phase-2 announcement raises total planned Arizona investment to about $12bn, without an annual cash-spend schedule [3]. Obtain that schedule before approving the facility.

Scenario	2027 EBITDA	2027 liquid assets / deficit	2029 gap to reserve
Base	1,698.1	688.4	3,015.5
Revenue -20%	1,167.5	485.2	4,211.2
Rates +200bp	1,698.1	678.8	3,041.4
Combined stress	1,167.5	475.7	4,237.1
Severe funding	1,167.5	(1,774.3)	6,139.3

USD millions. Gap = max(0, $500m reserve - modeled liquid assets). Negative assets indicate an unfunded requirement, not actual negative cash. Severe funding combines weaker revenue, higher rates, 25% higher capex and a delayed customer advance. These are scenarios, not default probabilities.

In 2027, base maintenance-capex DSCR is 2.23x but total-capex DSCR is negative 4.86x. Combined stress still clears the 1.25x maintenance screen at 1.49x, yet modeled liquid assets fall to $475.7m, below the $500m reserve. Earnings coverage cannot substitute for an executable cash funding plan.

Structure and conditions

Hypothetical facility for reconsideration after due diligence

Term	Proposed structure
Borrower and use	Amkor Technology, Inc.; documented eligible expansion / working-capital use. Parent-level repayment and subsidiary guarantees require legal review.
Amount / tenor / amortization	$100m modeling request, not an approved capacity limit. Draw Jan 1, 2027; repay $33.3m at each year-end through Dec 2029.
Pricing assumption	Floating benchmark + 200bp and 1% upfront fee. Model starts at 5.73%, using a June 2026 inferred reference rate, not a current market quote.
Security	Require verified permissible security / guarantees, collateral valuation and priority, with existing-lender consent where needed. No recoveries are assumed.

Conditions before any commitment

1. Fund the full program. Obtain a monthly cash plan through 2029, phased capex contracts, committed funding and a contingency reserve. Recalculate leverage and service for any gap-funding debt, including its interest and maturities; the present model has no borrowing plug.

2. Verify cash access and advances. Confirm legal transferability of subsidiary liquidity and customer-advance receipt, refund and credit terms. The model assumes all consolidated unrestricted liquid assets are accessible, an optimistic ceiling. Advances fund construction but future customer credits reduce collections.

3. Resolve legal and maturity risks. Parent debt is structurally subordinated to subsidiary liabilities [1]. Confirm guarantees, permitted liens, restrictions and available revolver capacity. Review $443.3m of 2030 maturities and the $1,150m convertible due 2031 beyond this forecast. Do not count undrawn facilities or conditional incentives as cash received.

4. Set monitored limits. Illustrative quarterly screens: gross debt / defined EBITDA at most 3.0x, EBITDA / cash interest at least 4.0x, maintenance-capex DSCR at least 1.25x and eligible liquid assets at least $500m. Reconcile definitions to contracts, assess total capex funding separately, and restrict distributions / unapproved capex when liquidity deteriorates. These are proposed screens, not actual OCBC policy.

AI spreading evidence and control

Original live pilot	Numeric matches	Accounting checks	Est. API cost
Sonnet 5.5 (reviewed)	174 / 174	36 PASS	$0.2960
Haiku 4.5	171 / 174	33 PASS; 3 unavailable	$0.1311

58 fields x three annual years. Benchmark withheld from prompts. Haiku missed three explicit zeros and altered punctuation in three quotes; corrections are separately logged. Eisen approved all 174 Sonnet records with unchanged amounts on October 2 after a 41-minute source review. Selected API processing plus review: 43.12 minutes, excluding setup and other work. Manual baseline and time savings remain unmeasured. One issuer does not establish general reliability. Interim/debt-note inputs remain manually sourced.

Definitions and source references

Recurring CFADS = EBITDA proxy - cash taxes - increase in operating working capital - selected cash capex, excluding new customer advances. DSCR divides this by cash interest plus scheduled debt and finance-lease principal. Maintenance capex is assumed at 30% of total; negative DSCR means negative cash available before service. Cash interest is not deducted twice from CFO.

[1] Amkor FY2025 10-K, statements pp. 53-58; debt pp. 82-84. [2] Q2 2026 10-Q, pp. 3-9, 18-20, 29-31, 34. [3] Issuer phase-2 announcement, Sep 8, 2026. Annual benchmark: existing Excel Raw Spread; scenarios: Forecast. Subsequent-filing completeness and borrower-level diligence remain outstanding.